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IN THE SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 1994

Supreme Court, U.S.
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Joseph V. Libretti, Jr.,

Petitioner

v.

United States of America,

Respondent

ON PETITION FOR A WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS
FOR THE TENTH CIRCUIT

PETITIONER'S REPLY BRIEF

Joseph V. Libretti, Jr., pro se
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16992

STATEMENT OF AUTHORITIES

<u>Whalen v. United States</u> , 445 U.S. 684, 63 L.Ed.2d 715, 100 S.Ct. 1432 (1980)	9
<u>United States v. Libretti</u> , 38 F. 3d 523, (10th Cir. 1994)	7

I. RESPONDENT ERRED IN CLAIMING THAT THE RECORD IN THIS CASE
PROVIDED AN AMPLE FACTUAL BASIS FOR THE PETITIONER'S
FORFEITURE

At pages 13-14, Respondent's Brief For The United States In
Opposition,¹ Respondent so stated,

"The record in this case provided an ample factual basis for petitioner's forfeiture. Petitioner's plea agreement expressly provided for forfeiture and specified the assets to be forfeited. Plea agreement 2-3. Count 6 of the indictment also specified the property to be forfeited and explained why the property was forfeitable under 21 U.S.C. 853. Superseding Indictment 31-32. At the change of plea hearing, the court specifically advised petitioner that 'all the property that's described in Count 6 could be forfeited to the United States,' and read aloud the allegations in Count 6 specifying the property to be forfeited."

Respondent then asserts, *id.* at 14-15, that based on this record, petitioner would not be entitled to relief under any standard, and therefore, further review is not warranted.

Because Respondent's claims are based on an erroneous factual basis concerning the assets listed in Count 6 of the indictment and the assets included in the Order of Forfeiture, Respondent's conclusion that the record in this case provided an ample basis for petitioner's forfeiture is erroneous.

¹ Hereinafter RB or "Respondent's Brief."

A. Because a majority of the property included in the Order of Forfeiture was not specified or identified in Count 6 of the Indictment as property to be forfeited, Respondent's reliance on the Indictment as establishing the factual basis for the forfeiture of all of the property in the Order of Forfeiture is erroneous.

Respondent perpetuates the misconception throughout Respondent's Brief that all of the property included in the Order of Forfeiture was "specifically" listed in the indictment, under Count 6, as Rule 7(c)(2) Fed.R.Crim.P. mandates. For example, Respondent claims at page 2, id., that Count 6 specified the property to be forfeited, and then at footnote 1, id., Respondent goes on to claim that all the property was identified by description. Respondent also states, id. at 13, "Count 6 of the indictment also specified the property to be forfeited and explained why the property was forfeitable under the standards of 21 U.S.C. 853."

Despite Respondent's assertions to the contrary, a vast majority of the property included in the Order of Forfeiture was not "specified" in Count 6 of the indictment, as property to be forfeited, as Rule 7(c)(2) Fed.R.Crim.P. requires, and no explanation as to "why [this unspecified property] was forfeitable under the standards of 21 U.S.C. 853" can be found in Count 6 of the indictment. The majority of the property included in the Order of Forfeiture was not property subject to forfeiture "under the standards of 21 U.S.C. 853," and nothing in the record supports any claim to the contrary.

First, two items of real property, identified as two condominiums in items (B) and (C) of the Order of Forfeiture, were forfeited. These condominiums were neither identified in the indictment, nor were these properties subject to forfeiture under §853. Respondent misstates this fact at page 2, and at page 2 n. 1, when Respondent assumes this real property was "specified" in Count 6 of the indictment.

Second, two childhood bank accounts, which Petitioner was unaware of the existence of when he pled guilty, items (U) and (V), were also neither "specified" in Count 6 of the indictment, nor property subject to forfeiture. Again, Respondent misstates facts in assuming, and then implying throughout Respondent's Brief, that all of the property forfeited was "specified" in the indictment.

Third, Petitioner's employee payroll savings plan, item (NN) in the Order of Forfeiture, was neither "specified" in the indictment, nor property subject to forfeiture as described in §853. This employee payroll savings plan consisted entirely of employer deductions from Petitioner's paychecks he earned as an accounting supervisor at General Chemical Corporation. It is worth noting that this asset was included in the Order of Forfeiture as substitute assets under §853(p), and not, as Respondent has stated at page 2 RB, "derived from proceeds [petitioner] obtained" or were "used and intended for use * * * to commit or to facilitate the commission" of the CCE offense.

Fourth, Petitioner's legal firearms business inventory, and personal firearms collection, (items I-P and ¶2 Order of

Forfeiture), were neither "specified" in the indictment, nor subject to forfeiture under § 853. Respondent assumes throughout Respondent's Brief that such property was alleged in the indictment as property subject to forfeiture, in accordance with Rule 7(c)(2) Fed.R.Crim.P., but such is not so.

Because Petitioner's condominiums, employee payroll savings plan, childhood bank accounts, and legitimately owned and acquired firearms business inventory, and personal firearms collection, were not specified as property subject to forfeiture in Count 6 of the indictment, or listed anywhere in the indictment, Respondent's claims that the indictment "specified the property to be forfeited and explained why the property was forfeitable under the standards of 21 U.S.C. 853" are erroneous, and must fail. A fortiori, Respondent's assertion that "the record in this case provided an ample factual basis for petitioner's forfeiture" must also fail, because this assertion is premised on the erroneous assumption that all of the property included in the Order of Forfeiture was specified in the indictment.

For the reasons stated above, Respondent's reliance on the indictment, and the District Court's Rule 11 advisement, as providing "an ample factual basis" for petitioner's forfeiture is error.

B. Because the District Court's advisement regarding the property subject to forfeiture did not include all of the property included in the Order of Forfeiture, Respondent's reliance on the District Court's advisement, as establishing the factual basis for Petitioner's forfeiture, is erroneous.

As stated above, a vast majority of the property ultimately included in the Order of Forfeiture was neither "specified" in the indictment as assets to be forfeited, nor as property described as subject to forfeiture under § 853. Throughout Respondent's Brief Respondent repeatedly asserts, incorrectly, that the District Court's Rule 11 advisement advised petitioner "that all of his property could be forfeited," id. at 5, and that petitioner understood "that all of his property could be forfeited." A review of the record establishes that petitioner was advised, and understood, that only property "that's described in Count 6 could be forfeited," 10/5/92 Change of Plea Tr. 7, 18-19, and RB., 13-14, and then only if that property was owned by petitioner "by reason of any drug transaction," Change of Plea Tr. at 21.

When the District Court read aloud the allegations in Count 6 specifying the property alleged to be subject to forfeiture, Change of Plea Tr. at 18-19, the District Court recited the list of property in Count 6, and informed Petitioner that no other property could be forfeited, by saying "and that's it." Because the District Court's advisement as to what property could be forfeited did not include petitioner's condominiums, childhood

bank accounts, employee payroll savings plan, or firearms business inventory or personal firearms collection, Respondent's reliance on the District Court's advisement as providing "an ample factual basis" for petitioner's forfeiture is error.

C. Neither the indictment, nor the record, provided a factual basis for the forfeiture of substitute assets under §853(p)

Item (NN) in the Order of Forfeiture is Petitioner's employee payroll savings plan. The Order of Forfeiture states that this asset was "to be forfeited as substitute assets for assets dissipated and otherwise expended by Libretti." Order of Forfeiture at page 7. Substitute assets forfeited under §853(p) are, by definition, not property subject to forfeiture under §853(a).

As stated above, petitioner's employee payroll savings plan was not "specified" in Count 6 of the indictment, nor did Count 6 explain "why the property was forfeitable under the standards of 21 U.S.C. § 853." RB at 13. Furthermore, Count 6 did not specify that this asset was to be forfeited because it was "either derived from proceeds [petitioner] obtained" from his CCE, or were "used and intended for use * * * to commit or facilitate the commission" of the CCE offense. By virtue of the employee payroll savings plan's status as substitute assets, it is conceded that this asset was not derived from, or used or intended to be used, to facilitate the offense.

Nothing in either the indictment or the record provides a factual basis for the forfeiture of substitute assets under §853(p). No assets were ever identified as tainted property as described in § 853(a), yet unavailable for forfeiture "as a result of any act or omission of the defendant." The District Court made a similar factual finding in its April 2, 1993 ORDER AMENDING DECEMBER 23, 1992 FORFEITURE ORDER, pages 6-7, n. 1, after analyzing the issue of substitute assets in this case.

"However, the government has not met its burden of proof that property subject to forfeiture pursuant to §853(p) falls into one of the five categories listed above, and that substitute assets should be forfeited in lieu of these assets."

In the Tenth Circuit's ruling, the Tenth Circuit stated,

"Defendant also alleges that Fed.R.Crim.P. 32(c)(3)(D) requires factual findings when a defendant alleges an inaccuracy in the presentence report. Because the district court did not rely on any alleged inaccuracies in the presentence report when it entered its order of forfeiture, after defendant stipulated to forfeiture within his guilty plea, we focus our analysis on Rule 11(f)."

United States v. Libretti, 38 F. 3d 523, 527 n. 5(10th Cir. 1994).

It is difficult to see how the District Court could not have relied on any alleged inaccuracies in the presentence report, but at the same time make the requisite findings necessary to forfeit property as substitute assets under §853(p). This is a contradiction. Defendant stated in the presentence report that he derived no more than \$70,000.00 from the offense of conviction. The Order of Forfeiture already exceeded \$400,000.00, when, in addition, Petitioner's employee payroll savings plan was forfeited as substitute assets. To forfeit the

employee payroll savings plan as substitute assets the District Court had to rely on an alleged inaccuracy, such inaccuracy being the amount of monetary gain Defendant derived from the offense of conviction. That is, the Court had to rely on the government's disputed claims that Defendant had derived monetary gain in an amount exceeding that which Defendant claimed. In addition, the District Court would also have had to find that this alleged, but unavailable, monetary gain, was not available for forfeiture as a result of any act or omission of Defendant, and not unavailable for any other reason. The Tenth Circuit was unable to identify any facts upon which the District Court could have relied on in order to forfeit Petitioner's legitimately earned, nonforfeitable employee payroll savings plan, as substitute assets.

Thus, Respondent's erroneous claims, at pages 2 and 13, RB, and permeated throughout Respondent's Brief, that the forfeiture of all of the property included in the Order of Forfeiture was supported by facts in either the indictment or the record must fail, in light of truth and reason. In light of the fact that the above described real and personal property was neither "specified" in the indictment, nor property subject to forfeiture as described in §853, the Respondent's claims to the contrary defy both logic and common sense.

II. A FINDING OF A FACTUAL BASIS FOR THE FORFEITURE OF PROPERTY UNDER § 853 IS REQUIRED TO PREVENT THE VIOLATION OF THE CONSTITUTIONAL PRINCIPLE OF SEPARATION OF POWERS, AND TO GUARANTEE THAT THE DEFENDANT'S PUNISHMENT DOES NOT EXCEED THE PUNISHMENT AUTHORIZED BY CONGRESS

As the Supreme Court held in Whalen v. United States, 445 U.S. 684, 63 L.Ed.2d 715, 100 S.Ct. 1432 (1980), a defendant has a right to be deprived of liberty as punishment for criminal conduct only to the extent authorized by Congress. Petitioner in this case contends that a defendant also has a right to be deprived of property as punishment for criminal conduct only to the extent authorized by Congress.

The criminal forfeiture of Petitioner's property was a penalty, inflicted as punishment for criminal conduct. RB. at 9. The power to prescribe the punishments to be imposed upon those found guilty of criminal offenses resides wholly with Congress. Whalen, 445 U.S. at 689, 63 L.Ed.2d at 722, 100 S.Ct. 1432. If a federal court exceeds its own authority by forfeiting property under § 853 that is not described as forfeitable under § 853, the federal court violates the constitutional principle of separation of powers in a manner that trenches particularly harshly on individual liberty and constitutional rights. Federal courts may constitutionally impose only such punishments as Congress has seen fit to authorize.

Congress has not authorized the forfeiture of property, under § 853, that is not described as forfeitable under § 853.

In order to prevent the forfeiture of nonforfeitable property, a factual basis for a forfeiture must be found to exist. For should a court ever forfeit property under § 853 that was not subject to forfeiture under § 853, then the defendant's constitutional guarantee to be punished only to the extent authorized by Congress has been violated. In this case at bar, Petitioner's right to be punished only to the extent authorized by Congress has been violated. Property not subject to forfeiture under § 853 has been forfeited under § 853. The Tenth Circuit explained this dichotomy by finding that Petitioner "agreed" to the forfeiture, so therefore, the District Court was not required to find any factual basis as to whether or not any of the property, such as Petitioner's employee payroll savings plan, was subject to forfeiture under § 853. The Tenth Circuit's holding was erroneous. In so ruling, the Tenth Circuit has upheld the propriety of any sentencing scheme that exceeds the punishment authorized by Congress, so long as the sentence is "agreed" to by the defendant, or the result of a "bargained for exchange." In allowing the District Court to hand down a sentence that exceeds the punishment authorized by Congress, the Tenth Circuit ignored the constitutional principle of separation of powers. The Constitution does not allow a District Court to hand down a sentence that exceeds the punishment authorized by Congress, regardless of whether the defendant "agreed" to the excessive punishment, or whether the excessive punishment was the result of a "bargained for exchange." When the District Court entered the Order of Forfeiture that resulted in the forfeiture

of Petitioner's nonforfeitable property, the District Court violated both the Constitutional principle of separation of powers, and violated Petitioner's constitutional right to be punished only to the extent authorized by Congress.

CONCLUSION

In cases where the forfeiture of property is inflicted as a punishment for criminal conduct, a defendant's constitutional right to be punished only to the extent authorized by Congress can only be guaranteed when a factual basis for the deprivation of property is found to exist. If a factual basis for the criminal forfeiture of a piece of property is not required to be found, then what guarantee does a defendant, being sentenced to a forfeiture of property under § 853, have that the forfeiture will not include nonforfeitable property, and what remedy would a defendant have if a sentencing court erroneously forfeited nonforfeitable property?

For the above stated reasons, neither the record nor the indictment could have provided an "ample factual basis" for the forfeiture of over \$350,000.00 worth of nonforfeitable property which was neither "specified" in the indictment, nor shown in the record to be subject to forfeiture. No degree of analysis of the record provides "an ample factual basis" for the forfeiture of Petitioner's employee payroll savings plan as substitute assets under §853(p), or for the forfeiture of any of the other property

included in the Order of Forfeiture, but not specified in the indictment as alleged to be forfeitable, as Rule 7(c)(2) Fed.R.Crim.P. requires. Based on the facts and the record, further review is warranted.

The Petition for a writ of certiorari should be granted.

Respectfully submitted,

Joseph V. Libretti, Jr.

Joseph V. Libretti, Jr.

Petitioner, pro se

March 1995

CERTIFICATE OF SERVICE

I certify that on March 31, 1995, I sent a copy of the foregoing PETITIONER'S REPLY BRIEF to the following parties, by depositing same, postage paid, in the U.S. Mails.

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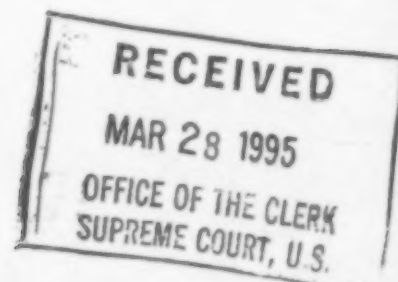
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Clerk Suter:

Please find enclosed an original and 40 copies of
Petitioner's Reply Brief in case 94-7427. Please file this with
the Supreme Court. Thank you.

Respectfully,

A handwritten signature in dark ink, appearing to be "JVL" or similar, written in a cursive style.

Joseph V. Libretti, Jr.
Petitioner, pro se